When the economy is getting out of hand and inflation is on the rise, the Fed often works to slow things down, also known as tightening. When the Fed wants to "tighten," or to pressure interest rates to rise, it calls up the same bond dealers and sells back some bonds. Then it wipes a few billion off the reserves of the banks in question. This reduces the amounts these banks can lend, which makes it harder for customers to get loans, and drives interest rates higher.

No doubt this explanation is oversimplified, but it's already complicated enough. When you hear about "tightening" and "loosening," remember the bonds and the funny way they're "purchased." The less said about clearings and drainings of reserves, the primary and secondary markets, the jumping of Treasury deposits, executing system repurchase agreements, and other functions of the Fed that I'm unable to understand, the better. I did find out that the famous discount rate is simply the interest rate the Fed charges to various member banks that need quick loans.

I was allowed a peek into the special room where the aforementioned bond transactions take place. It's called the open-market room, and almost as closely guarded as the gold vault downstairs. Inside is a large blackboard, similar to the departure-and-arrival boards seen at the international airports of underdeveloped countries. Scribes stood on tall ladders, busily erasing old numbers and filling in new ones. These were the current market prices for hundreds of existing bonds. In front of the blackboard, twenty or thirty phone clerks called around the world to get up-to-the-minute prices from bond dealers. The clerks relayed the prices to the scribes.

The results from a day's work at the Fed—the bond auctions, the T-bill prices, the tightening and loosening of reserves—are critical to Wall Street. The Fed is very considerate in releasing this information. It announces the Fed news at regular press conferences, and none of the interested parties can leave the room before everybody's been handed the press release. That way, the race to the telephones is fair.

Unfortunately, I'd missed the latest press conference, which had been held on a Thursday. I'd stumbled onto the building on a